

Table 57.9 Busted Patterns

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Busted patterns count	210 or 15%	119 or 29%	99 or 35%
Single bust count	125 or 60%	100 or 84%	76 or 77%
Double bust count	69 or 33%	15 or 13%	4 or 4%
Triple+ bust count	16 or 8%	4 or 3%	19 or 19%
Performance for all busted patterns	−15%	−20%	38%
Single busted performance	−21%	−22%	48%
Non-busted performance	−15%	−19%	42%

Busted and non-busted performance. With these three rows, I wanted to compare if busted patterns perform better than non-busted ones. The table shows that single busted scallops (which happen most often) beat the non-busted counterparts.

The tricky part is to pick a scallop that busts only once. I haven't found a reliable way to determine how many times a stock will bust. Perhaps looking at the historical record to see how wavy the stock looks might help. After all, if a stock has been trending higher in a near-straight-line run for years, you might conclude there's a good chance it'll single bust. A stock that has a history of making large price swings might bust more than once.

Trading Tactics

Table 57.10 shows trading tactics.

Measure rule, targets. The first trading tactic is to determine how far price is likely to move once the scallop completes. This gauge is called the measure rule because it involves measuring the scallop's height and applying it to the breakout point.